

SECURITIES AND EXCHANGE BOARD OF INDIA

OFFICIAL REGULATORY NOTIFICATION - STATUTORY TEXT

SEBI MASTER CIRCULAR ON SURVEILLANCE AND MARKET ABUSE PREVENTION

[Chapter 2 Paragraph 3] Spoofing and Layering Surveillance

Entering large non-genuine orders on the order book with the intent to cancel them immediately before execution, creating a deceptive impression of buying or selling pressure (spoofing/layering), is an illegal manipulative market abuse mechanism subject to immediate trading suspension and regulatory penalties.

[Chapter 2 Paragraph 6] Wash Trades and Self Trades

Executing trades where the buyer and seller are identical legal persons, common control entities, or collusive counterparties with zero transfer of beneficial interest (wash sales) is strictly prohibited as it distorts pricing discovery.

[Chapter 3 Paragraph 1] Marking the Close

Executing orders at or near the closing minutes of trading hours designed specifically to inflate or deflate the daily closing settlement price of an equity or derivative contract is a prohibited manipulative trade practice.
